

## **Standard Operating Procedures (SOPs) for Warehouse Operations**

### **1. Receiving Goods**

- **Purpose:** To establish a systematic and efficient procedure for receiving goods into the warehouse, ensuring that all shipments are accurately checked, documented, and stored in the appropriate locations.
- **Procedure:**
  - Inspect incoming shipments for visible damages.
  - Verify delivery against packing list of that shipment.
  - Record the quantity and condition of items received in SAP.
  - Update inventory system with received items in SAP.
  - Store goods in the appropriate location and update location in WMS.
  - Ensure that any discrepancies (damaged or missing items) are reported immediately.
  - Ensure each product is clearly labelled with compliance to govt rules and regulations.
  - For ceramic shipments, a random visual inspection (including opening boxes and checking the product for any damage) shall be conducted on 10% of the total shipment volume.
- **Key Points:**
  - Always inspect goods immediately upon arrival.
  - Cross-check orders (packing list) with suppliers.

### **2. Inventory Management**

- **Purpose:** To ensure accurate tracking of inventory.
- **Procedure:**
  - Conduct regular stock counts (daily, weekly, monthly).
  - Update inventory records after each transaction (receiving, shipping, returns).
  - Implement FIFO (First In, First Out).
  - Ensure proper labelling and barcoding of inventory.
- **Key Points:**
  - Regular audits and reconciliation of inventory levels.
  - Utilize barcode scanning systems to improve accuracy.

### **3. Order Picking**

- **Purpose:** To define the steps for picking products for orders (Delivery Notes).
- **Procedure:**
  - Verify the order details (customer order, quantity, and specifications).
  - Pick the products from their designated locations.
  - Double-check the picked items for accuracy.
  - If necessary, use picking lists, or RF guns for efficiency.
  - Ensure items are packed appropriately for shipping.
- **Key Points:**
  - Optimize picking routes to improve efficiency

- Use automated systems to minimize human error.

#### 4. Packing and Labelling

- **Purpose:** To ensure products are safely packed and labelled correctly before shipping.
- **Procedure:**
  - Inspect the items for quality (Visual) and completeness.
  - Select suitable packing materials (boxes, pallets, etc.).
  - Pack items securely to prevent damage during transportation.
  - Ensure the correct shipping label is applied with the correct customer information.
  - Ensure no label is pasted on another label.
  - Attach any necessary documentation (invoices, e-waybill, etc.).
- **Key Points:**
  - Use appropriate packaging for the type of goods.
  - Ensure labels are clearly visible and contain all necessary information (e.g., addresses, barcodes).

#### 5. Shipping and Dispatch

- **Purpose:** To outline the procedures for shipping orders to customers.
- **Procedure:**
  - Verify the shipping details (address, shipping method, and delivery time).
  - Schedule the shipment based on priority and transportation availability.
  - Load items onto delivery vehicles or hand over to couriers.
  - Ensure all shipments are recorded in the inventory and shipping systems.
- **Key Points:**
  - Double-check the shipping labels and addresses.
  - Track shipments to ensure on-time delivery.

#### 6. Returns and Restocking

- **Purpose:** To outline the process for handling returned items.
- **Procedure:**
  - Inspect returned items for condition and reason for return.
  - Record returns in the inventory system and update stock levels.
  - Repackage and restock items that are in resalable condition.
  - Follow procedures for defective or damaged goods (refund, replacement, or disposal).
- **Key Points:**
  - Ensure that returns are processed quickly and accurately.
  - Maintain clear documentation of returned goods for audit purposes.

#### 7. Safety and Health Procedures

- **Purpose:** To maintain a safe working environment for warehouse staff.
- **Procedure:**

- Conduct regular safety drills (fire, evacuation).
- Provide personal protective equipment (PPE) such as gloves, helmets, etc.
- Ensure proper storage of hazardous materials (flammable, toxic).
- Maintain clean aisles, clear signage, and well-lit areas.
- Ensure proper lifting techniques and mechanical aids are used.
- **Key Points:**
  - Regular safety training for all warehouse employees.
  - Ensure all employees are familiar with emergency procedures.

## 8. Equipment Maintenance

- **Purpose:** To ensure that warehouse equipment (VNA, forklifts, Cardboard Perforating Machine etc.) remains in good working order.
- **Procedure:**
  - Schedule regular maintenance checks for all equipment.
  - Log maintenance activities and repairs.
  - Ensure equipment is cleaned after use.
  - Report any faults or malfunctions immediately to maintenance personnel.
  - The oil in the cardboard perforated machine must be changed annually.
- **Key Points:**
  - Safety protocols when operating equipment.
  - Regular checks to prevent downtime due to faulty machinery.

## 9. Security and Loss Prevention

- **Purpose:** To prevent theft, loss, or damage of inventory.
- **Procedure:**
  - Implement security measures such as CCTV, restricted access zones, and employee identification.
  - Perform regular inventory checks and audits to spot discrepancies.
  - Secure high-value items in designated storage areas.
  - Monitor employee behaviour for any unusual or suspicious activities.
- **Key Points:**
  - Ensure a robust access control system.
  - Regular training on preventing theft or fraud.

## 10. End-of-Day Procedures

- **Purpose:** To close out daily operations and prepare for the next day.
- **Procedure:**
  - Ensure all processed orders are packed.
  - Reconcile daily inventory movements.
  - Record any discrepancies or issues for follow-up.
  - Secure the warehouse by locking doors, securing equipment, and setting alarms.

- **Key Points:**
  - Conduct a final inventory count before closing.
  - Ensure that all shipments are dispatched or scheduled for the next day.

#### 11. Employee Training and Development

- **Purpose:** To ensure all warehouse employees are trained and aware of their roles.
- **Procedure:**
  - Provide initial and ongoing training on warehouse operations and safety.
  - Conduct periodic assessments to check employees' knowledge and skills.
  - Update training materials based on new technologies or processes.
- **Key Points:**
  - Ensure new hires are trained on SOPs.
  - Continuous improvement through feedback and performance reviews.

#### 12. Audit and Compliance

- **Purpose:** To ensure adherence to SOPs, regulations, and internal policies.
- **Procedure:**
  - Conduct regular internal audits of processes, safety, and inventory.
  - Review compliance with legal and regulatory requirements.
  - Maintain records of audits and corrective actions taken.
- **Key Points:**
  - Ensure SOPs comply with relevant laws (OSHA, local labour laws, etc.).
  - Address audit findings promptly.

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#### Final Notes:

Warehouse SOPs should be regularly reviewed and updated to keep up with changes in technology, safety regulations, or operational needs.